

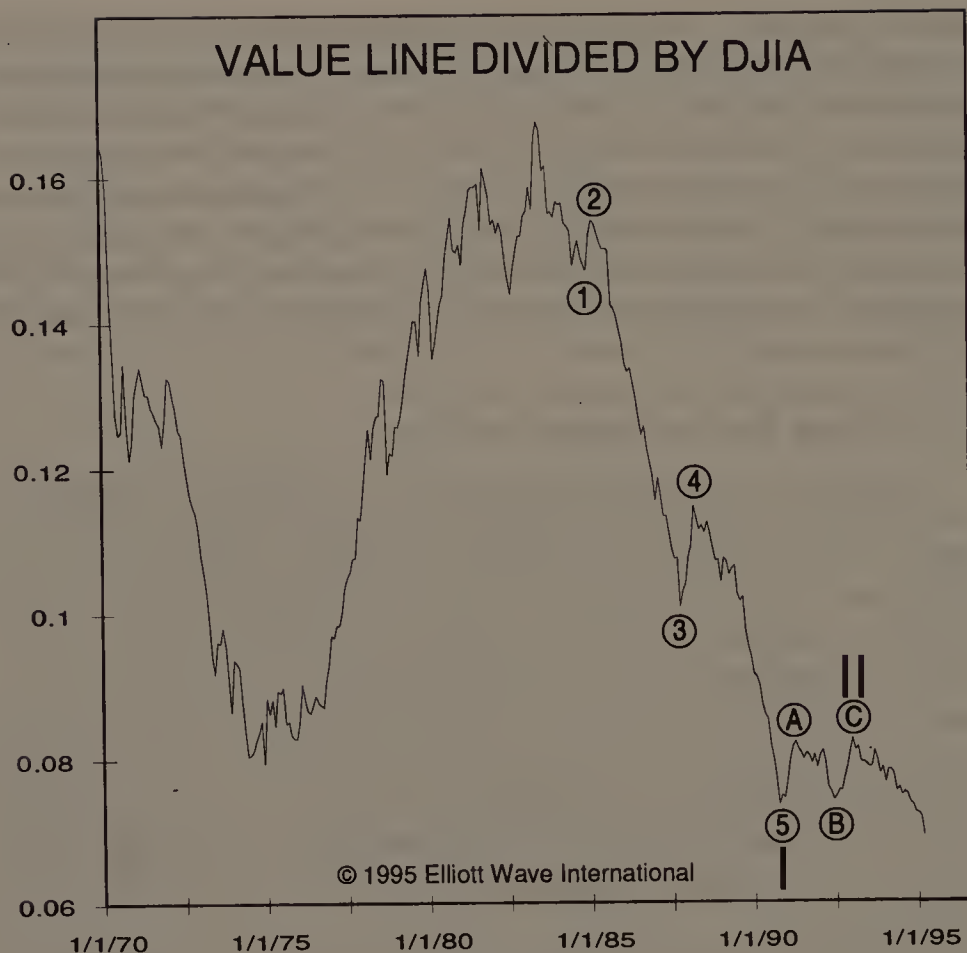


Figure 8-5

no better than gambling. At that point, a careful selection of deeply depressed issues will make investors a fortune.

THE GLOBAL STOCK CRAZE

Needless to say, the Great Asset Mania has been a global affair. The World Stock Index reflects that fact, as you can see in Figure 8-6. Thus, the conclusions in this book pertain almost equally to every other stock exchange around the world.

Perhaps the greatest indication that the global stock mania is culminating is the craze in recent years to own stocks in "emerging markets." At the start of 1994, an Investment Director for a large UK life insurance company issued a statement that reflects the thinking of a huge contingent of money managers today: "Investing a maximum of 5% in emerging markets is out of date. Investors